

Amazon.com, Inc.

Recommendation BUY

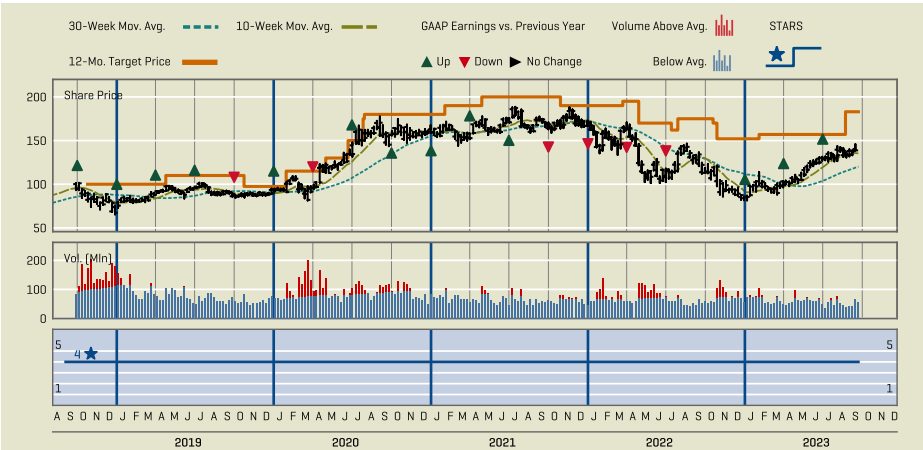
Price USD 129.12 (as of market close Sep 22, 2023) 12-Mo. Target Price USD 183.00 Report Currency USD Investment Style Large-Cap Growth

Equity Analyst Arun Sundaram, CFA, CPA

GICS Sector Consumer Discretionary Sub-Industry Broadline Retail Summary Amazon.com, Inc. is a leading global e-commerce retailer, as well as a major provider of cloud computing services to companies, individuals, and governments.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)					
52-Wk Range	USD 145.86 - 81.43	Oper.EPS2023E	USD 4.42	Market Capitalization[B]	USD 1332.23
Trailing 12-Month EPS	USD 1.27	Oper.EPS2024E	USD 4.66	Yield [%]	N/A
Trailing 12-Month P/E	101.67	P/E on Oper.EPS2023E	29.21	Dividend Rate/Share	N/A
USD 10K Invested 5 Yrs Ago	13,485.0	Common Shares Outstg.[M]	10,313.00	Trailing 12-Month Dividend	N/A
				Beta	1.24
				3-yr Proj. EPS CAGR[%]	NM
				SPGMI's Quality Ranking	B
				Institutional Ownership [%]	60.0

Price Performance



Source: CFRA, S&P Global Market Intelligence Past performance is not an indication of future performance and should not be relied upon as such. Analysis prepared by Arun Sundaram, CFA, CPA on Aug 23, 2023 10:23 AM ET, when the stock traded at USD 134.09.

Highlights

- We forecast 11% revenue growth in 2023, up from 9% in 2022, broken down as such: first-party online sales [+4%]; physical stores [+5%]; third-party seller services [+19%]; subscription services [+12%]; advertising [+23%]; and AWS [+14%]. On the bottom line, we forecast \$28.9B of operating income in 2023 vs. \$12.2B in 2022, with operating margins expanding to 5.1% vs. 2.4% in 2022.
- In e-commerce, AMZN is making major strides in lowering its cost to serve, while also increasing Prime delivery speeds. In advertising, AMZN is capturing more digital-ad share, and we see this business growing from \$38B in 2022 to \$56B by 2024. In AWS, we believe growth troughed in 2Q 2023 at 12%, as we forecast modest acceleration in 2H 2023 and stronger growth in 2024 [+19%], partly driven by new opportunities in generative AI, machine learning, and large language models.
- Free cash flow on a trailing 12-month basis turned positive in 2Q 2023. We see AMZN driving long-term sustainable free cash flows, driven by operating profit improvement, improvements in working capital, and lower capex. We note capex grew at a 48% CAGR between 2018 and 2022. In 2023, AMZN plans to cut back on fulfillment and transportation capex.

Investment Rationale/Risk

- Our opinion is Buy. We think all the pieces are coming together for AMZN, as 2Q 2023 demonstrated remarkable operating profit improvement in the e-commerce business, stellar growth in the advertising business, and the trough of the cloud computing cycle. With more e-commerce efficiencies left to be unlocked, along with faster growth in higher-margin business streams like AWS and advertising, we believe there is significant operating profit upside over the next several years versus current consensus. Shares still look cheap trading at about 15x forward adj-EBITDA vs. 12x-30x historical trading range.
- Risks to our opinion and target price include legal and regulatory challenges (e.g., claims, litigation, government investigations), rising competition in e-commerce and cloud services, and overall challenging macroeconomic conditions.
- Our 12-month target price of \$183 is calculated using an EV/EBITDA multiple of 17x against our 2024 adjusted EBITDA estimate of \$115.0B [+12% Y/Y; +37% Y/Y in 2023]. This multiple is at the lower end of AMZN's long-term trading range [12x-30x], justified by the uncertain macro environment, including recession risk in 2024.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects Amazon's position as a global leader in e-commerce and cloud computing services. AMZN also has a diversified set of profit streams, derived from both products (e.g., online stores and physical stores) and services (e.g., advertising, fulfillment, subscriptions, and Amazon Web Services [AWS]). AMZN has what we view as a competitive edge due to its size and scale; we note it spent about \$64 billion in capital investments in 2022 (up from \$13 billion in 2018). Finally, its balance sheet is strong with a net debt/adj-EBITDA ratio of just 0.9x as of 2022 (\$70 billion in cash and marketable securities).

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 140,251	E 148,490	E 157,953	E 186,840	E 633,533
2023	127,358	134,383	E 142,366	E 167,754	E 571,861
2022	116,444	121,234	127,101	149,204	513,983
2021	95,504	102,945	112,435	139,146	451,254
2020	75,452	88,912	96,145	125,555	386,064
2019	59,700	63,404	69,981	87,436	280,522

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2024	E 0.85	E 1.18	E 1.23	E 1.41	E 4.66
2023	0.77	1.38	E 1.11	E 1.16	E 4.42
2022	0.48	0.53	0.61	0.62	2.24
2021	1.02	1.11	0.61	0.55	3.29
2020	0.43	0.80	0.85	0.91	2.99
2019	0.48	0.47	0.39	0.51	1.85

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.

Amazon.com, Inc.**Business Summary** Jul 10, 2023

CORPORATE OVERVIEW. Since opening for business as “Earth’s Biggest Bookstore” in July 1995 and going public in 1997 at a split-adjusted stock price of \$1.50 per share, Amazon.com has expanded into a number of other product categories including apparel, shoes, and jewelry; electronics and computers; movies, music, and games; toys, kids, and baby; sports and outdoors; home and garden; tools, auto, and industrial; grocery; health and beauty; and digital downloads.

Over the years, Amazon has expanded into several service offerings, including fulfillment, advertising, publishing, subscriptions (e.g., Amazon Prime membership), as well as its leading cloud computing business called Amazon Web Services [AWS]. AWS offers a broad set of on-demand technology services, including compute, storage, database, analytics, and machine learning. 2022 marked the first year where Amazon generated more revenue from services over products. Services made up 53% of total revenues in 2022, up from 49% in 2021 and 44% in 2020.

In Amazon’s 2021 shareholder letter (released in April 2022), the company stated it had over 200 million Prime customers worldwide. We think Amazon could be approaching 300 million Prime customers, driven by international expansion.

The breakdown of 2022 net sales by reporting segments is as follows: North America [61%]; International [23%]; and Amazon Web Services, or AWS [16%]. In 2022, AWS was Amazon’s only profitable segment with operating income of \$22.8 billion [+23% Y/Y], as North America realized a \$2.9 billion loss [down from a \$7.2 billion profit in 2021] and International saw a \$7.8 billion loss [down from a \$1.0 billion loss in 2021].

The breakdown of 2022 revenues by channels is as follows: online stores, 43%; physical stores, 4%; third-party seller services, 23%; subscriptions services, 7%; advertising services, 7%; Amazon Web Services, 15%; and other, 1%.

PRIMARY BUSINESS DYNAMICS. Amazon’s business is highly intensive in terms of operating and capital expenditures. Over the past several years, the company has significantly ratcheted up its spending to build out its extensive infrastructure for shipping/logistics and delivery/fulfillment. In addition, the company has also heavily invested in other areas such as hardware devices, video content, and international expansion—including its Amazon Web Services division—resulting in some barriers to entry. In 2023, Amazon plans to pull back on capital expenditures, particularly in its fulfillment and transportation network. The company’s goal in 2023 is to realize more efficiencies following a heavy capital investment period of the past few years.

Strengths of the company, in our view, include strong brand name recognition; the breadth and depth of the company’s product lines; a user feedback feature that we think helps to build trust and increase customer loyalty; what we see as a strong balance sheet, with over \$70 billion in cash and marketable securities versus \$67 billion in long-term debt; and efficient deployment of capital on technology to help promote a fast, user-friendly shopping experience.

M&A. In March 2022, Amazon closed on its deal to acquire MGM Holdings Inc. [MGM] for \$8.45 billion, its second largest acquisition ever. Amazon’s largest acquisition was Whole Foods (a leading retailer of natural and organic foods) in August 2017 for \$13.7 billion in cash. In June 2020, it acquired Zoox, a start-up provider of autonomous vehicles, for about \$1.2 billion. In September 2018, the company acquired PillPack, an online pharmacy company, for about \$753 million. In February 2018, Amazon acquired Ring, a start-up provider of smart home technology applications, for about \$839 million. In February 2023, Amazon acquired One Medical, a primary care provider, for about \$3.9 billion. In August 2022, Amazon entered into an agreement to acquire iRobot Corporation for \$1.7 billion.

KEY DEVELOPMENTS. In February 2022, Amazon announced it will increase the price of a Prime membership in the U.S., with the monthly fee going from \$12.99 to \$14.99 and the annual membership from \$119 to \$139. This is the first time Amazon has raised the price of Prime since 2018.

Amazon has partnered with Rivian Automotive, an electric vehicle manufacturer, to add electric delivery vehicles. Amazon plans to have 100,000 electric delivery vehicles from Rivian on the road by 2030. As of December 31, 2022, Amazon held 158 million shares of Rivian’s Class A common stock, representing about 17% ownership interest and 16% voting interest.

In July 2021, Andy Jassy (formerly the CEO of Amazon Web Services) was promoted to become the company’s CEO, replacing Jeff Bezos (who founded the company), who transitioned into a newly created role of executive chairman.

FINANCIAL TRENDS. Revenues grew 9% in 2022, a deceleration from 2021 [+22%] and 2020 [+38%] which benefited from an acceleration in e-commerce trends amid the Covid-19 lockdowns and stay-at-home orders. Operating income was cut in half in 2022, driven by losses in Amazon’s retail business, partially offset by 23% growth in AWS. The loss in retail was due to increased fulfillment and shipping costs, due in part to increases in investments in its fulfillment network, transportation costs, and wage rates and incentives, increased technology and content costs, and growth in certain operating expenses, partially offset by increased unit sales, including sales by third-party sellers, and advertising sales.

On March 9, 2022, Amazon’s Board of Directors approved a 20-for-1 split of the company’s common stock. This was the fourth stock split in Amazon’s history. Amazon previously announced a two-for-one split in July 1999, a three-for-one split in November 1998, and a two-for-one split in April 1998.

On March 9, 2022, Amazon’s Board of Directors authorized a \$10 billion share repurchase program, which replaced the previous \$5.0 billion program. The company repurchased 46.2 million shares of common stock for \$6.0 billion in 2022. There were no repurchases of common stock in 2020 or 2021. As of December 31, 2022, Amazon had \$6.1 billion remaining under the repurchase program.

Amazon has never declared or paid cash dividends.

Corporate information**Investor contact**

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Officers**President, CEO & Director**

A. R. Jassy

Senior VP & CFO

B. T. Olsavsky

VP, Worldwide Controller & Principal Accounting Officer

S. L. Reynolds

Senior VP of Global Public Policy & General Counsel

D. A. Zapsky

Chief Technology Officer

W. Vogels

Founder & Executive Chairman

J. P. Bezos

Board Members

A. R. Jassy

J. J. Rubinstein

B. D. Smith

J. P. Bezos

D. P. Huttenlocher

J. S. Gorelick

E. W. Cooper

K. B. Alexander

I. K. Nooyi

P. Q. Stonesifer

J. A. McGrath

W. P. Weeks

Domicile

Delaware

Auditor

Ernst & Young LLP

Founded

1994

Employees

1,541,000

Stockholders

10,845

Amazon.com, Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST		HIGHEST		
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	USD 71.49	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AMZN is overvalued by USD 57.63 or 44.63%			
Volatility	LOW		AVERAGE	HIGH	
Technical Evaluation	BULLISH	Since August, 2023, the technical indicators for AMZN have been BULLISH"			
Insider Activity	UNFAVORABLE		NEUTRAL	FAVORABLE	

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	1.67	3.65	4.30	3.32
Price/EBITDA	15.80	28.94	34.54	25.63
Price/Pretax Income	NM	44.99	68.64	66.70
P/E Ratio	NM	51.45	77.86	80.31
Avg. Diluted Shares Outstg. [M]	10,189	10,296	10,198	10,080
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		NM	NM	NM
Sales		9.40	22.37	23.64
Ratio Analysis [Annual Avg.]				
Net Margin [%]		NM	4.03	4.11
% LT Debt to Capitalization		23.37	20.30	21.56
Return on Equity [%]		-1.91	18.11	20.91

Company Financials Fiscal year ending Dec 31

Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	11.68	11.57	7.30	4.34	2.53	1.14	1.54	0.92	0.72	0.70
Free Cash Flow	-1.66	-1.46	2.59	2.19	1.78	0.67	0.99	0.71	0.21	0.22
Earnings	-0.27	3.24	2.09	1.15	1.01	0.31	0.24	0.06	-0.03	0.03
Earnings [Normalized]	-0.27	3.24	2.09	1.15	1.01	0.23	0.24	0.06	-0.03	0.03
Dividends	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	171.40	188.65	177.61	101.79	102.52	60.67	42.36	34.82	20.40	20.28
Prices: Low	81.69	144.05	81.30	73.05	58.53	37.38	23.70	14.26	14.20	12.14
P/E Ratio: High	NM	58.20	84.90	88.50	NM	NM	NM	NM	NM	NM
P/E Ratio: Low	NM	44.50	38.90	63.50	58.10	NM	96.70	NM	NM	NM

Income Statement Analysis [Million USD]

Revenue	513,983	469,822	386,064	280,522	232,887	177,866	135,987	107,006	88,988	74,452
Operating Income	12,248	24,879	22,899	14,541	12,421	4,106	4,186	2,233	178.00	745.00
Depreciation + Amortization	41,921	34,433	25,180	21,789	15,341	11,478	8,116	5,646	4,187	2,802
Interest Expense	2,367	1,809	1,647	1,600	1,417	848.00	484.00	459.00	210.00	141.00
Pretax Income	-5,939	38,155	24,194	13,962	11,270	3,802	3,796	1,546	-74.00	435.00
Effective Tax Rate	54.20	12.60	11.80	17.00	10.60	20.20	37.50	61.40	-225.70	37.00
Net Income	NM	33,364	21,331	11,588	10,073	3,033	2,371	596.00	NM	274.00
Net Income [Normalized]	6,242	14,655	13,625	8,510	7,040	2,301	2,335	969.40	NM	272.50

Balance Sheet and Other Financial Data [Million USD]

Cash	70,026	96,049	84,396	55,021	41,250	30,986	25,981	19,808	17,416	12,447
Current Assets	146,791	161,580	132,733	96,334	75,101	60,197	45,781	35,705	31,327	24,625
Total Assets	462,675	420,549	321,195	225,248	162,648	131,310	83,402	64,747	54,505	40,159
Current Liabilities	155,393	142,266	126,385	87,812	68,391	57,883	43,816	33,887	28,089	22,980
Long Term Debt	73,850	54,944	35,216	23,414	23,495	24,743	7,694	8,227	8,265	3,191
Total Capital	315,981	278,002	198,144	139,593	78,065	71,817	39,698	30,896	24,750	15,680
Capital Expenditures	63,645	61,053	40,140	16,861	13,427	11,955	7,804	5,387	4,893	3,444
Cash from Operations	46,752	46,327	66,064	38,514	30,723	18,365	17,203	12,039	6,842	5,475
Current Ratio	0.94	1.14	1.05	1.10	1.10	1.04	1.04	1.05	1.12	1.07
% Long Term Debt of Capitalization	23.40	19.80	17.80	16.80	30.10	34.50	19.40	26.60	33.40	20.40
% Net Income of Revenue	-0.50	7.10	5.50	4.10	4.30	1.70	1.70	0.60	-0.30	0.40
% Return on Assets	1.73	4.19	5.24	4.69	5.28	2.39	3.53	2.34	0.24	1.28
% Return on Equity	-1.90	28.80	27.40	21.90	28.30	12.90	14.50	4.90	-2.40	3.10

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Amazon.com, Inc.**Sub-Industry Outlook**

Our 12-month fundamental outlook for the Broadline Retail sub-industry is neutral. On the top line, comparable sales growth is generally moderating, driven by weak consumer discretionary spending, the lapping of prior-year price increases, and normalizing post-pandemic demand trends. However, on the bottom line, there are various puts and takes to profitability. For example, tailwinds include lower freight/transportation costs, moderating input cost inflation, and stronger productivity savings. However, headwinds include greater promotional activity, increased shrinkage (e.g., theft), higher wages, and higher interest expense.

Inflation, as measured by the consumer price index (CPI) was 3.0% Y/Y in June 2023, which is slightly above the Federal Reserve's target of 2% but well below the June 2022 high of 9.1%. The core CPI, which excludes food and energy prices, was 4.8% in June 2023, down from the March 2022 high of 6.5%. Headline CPI has now been below core CPI for four consecutive quarters. We note goods inflation has come down meaningfully over the past year, but services and shelter inflation has remained stickier.

The labor market has been much stronger than expected, although there are signs it is beginning to cool down. The unemployment rate was 3.6% as of June 2023, near the pre-pandemic level of 3.5%. The number of job openings was 9.8 million as of May 2023, down from the March 2022 peak of 12.0 million but well above the historical average of about 4 million-6 million job openings. In terms of job creation, 209 thousand jobs were added in June, below the 240 thousand estimate and generally below the rate of job growth over the past few years. In terms of average hourly earnings, wages grew 4.4% Y/Y in June 2023, down from the March 2022 peak of 5.9% but well above historical levels (about 2%-3% Y/Y).

Consumers built up savings during the first few years of the pandemic. We believe consumers still have some of these savings left. Our analysis estimates consumer excess savings sitting just above \$1 trillion, which is down from the late-

2021 peak of nearly \$2.5 trillion. Based on the current trends, we forecast this excess savings pool becoming fully depleted during the first half of 2024.

A key headwind to consumer spending toward the end of summer and the beginning of fall will be the resumption of federal student loan payments. The Biden administration agreed not to extend the three-year moratorium on federal student loan payments as part of the debt ceiling deal it cut with Republicans. At the same time, the Supreme Court turned down the Biden administration's plan to forgive up to \$20,000 in federal student loans for qualified borrowers. As a result, the nearly 27 million borrowers who have a total of \$1.1 trillion in student loans will need to resume payments starting October 1. Average monthly payments will be about \$400.

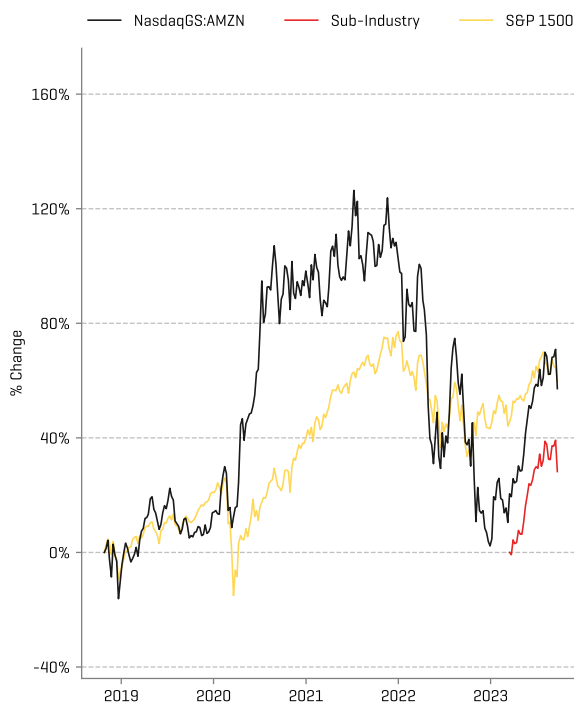
In March 2023, there were several changes made to the Global Industry Classification Standard (GICS) structure. A key update was retailers will be classified based on the nature of goods sold rather than according to the underlying technology used to deliver the product/service. As a result, the General Merchandise Stores and Department Stores sub-industries were merged into a new sub-industry (Broadline Retail), which also includes certain retailers from the now discontinued Internet & Direct Marketing Retail sub-industry (e.g., AMZN, EBAY, ETSY).

/ Arun Sundaram, CFA, CPA

Industry Performance**GICS Sector: Consumer Discretionary****Sub-Industry: Broadline Retail**

Based on S&P 1500 Indexes

Five-Year market price performance through Sep 23, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Broadline Retail Peer Group*: Broadline Retail

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Amazon.com, Inc.	AMZN	NasdaqGS	USD	129.33	1,334,395.0	-3.7	9.1	102.0	71.49	N/A	8.7	20.3
Alibaba Group Holding Limited	BABA	NYSE	USD	84.11	213,927.0	-4.5	3.1	N/A	N/A	N/A	7.0	11.7
Coupang, Inc.	CPNG	NYSE	USD	17.00	30,324.0	-8.8	0.1	72.0	N/A	N/A	17.7	13.1
Dollarama Inc.	DOL	TSX	CAD	94.21	26,616.0	49.9	64.4	30.0	39.28	0.3	2201.7	38.9
Etsy, Inc.	ETSY	NasdaqGS	USD	64.25	7,904.0	-12.6	-38.3	14.0	N/A	N/A	-1224.5	118.5
JD.com, Inc.	JD	NasdaqGS	USD	29.81	46,891.0	-10.4	-44.7	10.0	N/A	2.0	8.3	8.9
MINISO Group Holding Limited	MNSO	NYSE	USD	25.14	7,824.0	12.5	403.8	33.0	N/A	1.6	22.3	0.1
MercadoLibre, Inc.	MELI	NasdaqGS	USD	1,293.28	64,784.0	4.1	45.7	87.0	N/A	N/A	39.5	31.4
PDD Holdings Inc.	PDD	NasdaqGS	USD	92.17	122,456.0	18.9	47.5	20.0	164.57	N/A	34.9	1.0
Vipshop Holdings Limited	VIPS	NYSE	USD	14.50	7,855.0	-9.8	55.8	8.0	21.14	N/A	23.3	N/A
eBay Inc.	EBAY	NasdaqGS	USD	43.92	23,372.0	1.5	12.8	10.0	44.93	2.3	25.5	57.2

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Amazon.com, Inc.**Analyst Research Notes and other Company News****August 23, 2023**

10:12 AM ET... CFRA Reiterates Buy Opinion on Shares of Amazon.com, Inc. [AMZN 133.68****]:

We lift our 12-month target to \$183 from \$157, calculated using an EV/EBITDA multiple of 17x against our 2024 adj-EBITDA estimate of \$115.0B. We lift our 2023 adj-EPS to \$4.42 from \$1.57 and 2024's to \$4.66 from \$1.92. Q2 results smashed consensus, and to our surprise, AMZN provided an upbeat outlook for Q3. AWS revenue grew 12% Y/Y vs. 10% consensus. More importantly, AWS is showing signs of stabilizing, with the potential for reacceleration in 2H 2023 as AMZN migrates more enterprises to the cloud and monetizes new generative AI products and services. In e-commerce, AMZN made significant strides in lowering its cost to serve while also increasing delivery speeds. With more e-commerce efficiencies left to be unlocked, along with faster growth in higher-margin business streams like AWS and advertising, we believe there is a significant operating profit upside over the next several years versus current consensus. Shares still look cheap, trading at 15x forward adj-EBITDA vs. 12x-30x historical trading range. / Arun Sundaram, CFA, CPA

July 10, 2023

10:10 AM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 127.00****]:

Amazon will hold its Prime Day event on July 11-12. Originally launched in 2015 as a celebration of Amazon's 20th birthday, Prime Day has evolved into a major shopping extravaganza, rivaling Black Friday and Cyber Monday. We expect another record-breaking sales event, as consumers are expected to be even more drawn to promotions and deals this year. Some new features for this edition of Prime Day are savings on a One Medical membership and the introduction of "Buy with Prime" for third-party merchants. This will also be the first Prime Day event where Amazon will be able to flex its new regional distribution model, which should result in lower fulfillment costs and faster delivery speeds. This week is also a big deal for competitors, with Walmart, Target, and Best Buy all hosting rival events. Walmart is competing head-to-head with Amazon by offering 50% off a Walmart+ membership (now \$49 for first year). These deals are arriving at a time when consumer discretionary spending is facing mounting pressures. / Arun Sundaram, CFA, CPA

April 28, 2023

06:32 AM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 108.55****]:

We keep our 12-month target at \$157, calculated using an EV/EBITDA multiple of 18x [unchanged] against our '23 adj-EBITDA estimate of \$93.8B [up from \$93.7B]. We raise our '23 EPS to \$1.57 from \$1.42, but lower '24's to \$1.92 from \$2.45. Q1 revenues grew 9.4% Y/Y vs. 7.0% consensus and operating profit came in at \$4.8B (includes \$0.5B in severance) vs. \$3.1B consensus. Guidance for Q2 was in line, but commentary that AWS growth slowed to around 11% Y/Y in April (from 16% in Q1) raised some concerns. While we are lowering our top- and bottom-line estimates for AWS, we raise our estimates for e-commerce (both 1P and 3P) and advertising. AMZN made major strides to reduce its cost to serve within its retail network, which we expect will continue through 2023 and 2024 as more efficiencies are realized. In addition, AMZN's advertising business is growing robustly (+21% Y/Y), partly due to investments in machine learning. Overall, we view Q1 as the beginning of a multi-year turnaround in terms of profits and margins. / Arun Sundaram, CFA, CPA

April 21, 2023

08:55 AM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 103.54****]:

We keep our 12-month target at \$157, calculated using an EV/EBITDA multiple of 18x (down from 20x) against our 2023 adj-EBITDA estimate of \$93.7B [up from \$84.2B]. Our revised multiple considers rising recession risk. We raise our 2023 GAAP EPS to \$1.42 from \$1.31 and 2024's to \$2.45 from \$2.36. AMZN will report Q1 results on April 27 after market close. While revenue expectations seem a bit high [we forecast 6.4% Y/Y growth vs. 7.0% consensus], we expect more focus on bottom-line metrics like operating income, which we see coming in at \$3.2 billion vs. \$3.1 billion consensus. We see operating profits improving in Q2 (+62% Y/Y) and continuing through 2023 (+74% Y/Y) and 2024 (+60% Y/Y) as cost pressures ease (particularly freight/fulfillment costs) and various efficiency/productivity efforts take hold. While AWS growth will likely decelerate in Q1, growth above 15% Y/Y will be viewed favorably by investors, in our view. We see AWS growth bottoming by the end of 2023, which should be a catalyst for the shares. / Arun Sundaram, CFA, CPA

April 13, 2023

12:42 PM ET... CFRA Reiterates Buy Opinion on Shares of Amazon.com, Inc. [AMZN 101.26****]:

AMZN published its annual shareholder letter today. CEO Andy Jassy acknowledged short-term macro headwinds, but remained optimistic about the company's long-term prospects, not only in e-commerce and cloud computing, both of which are still highly underpenetrated, but also from the various bets it's making in areas like healthcare, grocery, streaming, and communication services (i.e., Project Kuiper). AMZN also announced new AWS tools today for companies looking to use generative AI. These tools fill gaps in infrastructure, software, and foundation models, all of which have been entry barriers for many firms that see the potential in generative AI, but lack the necessary resources to build out an entire solution. We think Jassy's optimism, these new generative AI tools, and softer-than-expected inflation data are supporting AMZN shares today. We reiterate our Buy opinion and continue to believe 2023 will mark the beginning of a multi-year turnaround for profits, margins, and free cash flow. / Arun Sundaram, CFA, CPA

March 20, 2023

01:08 PM ET... CFRA Maintains Buy Opinion on Shares of Amazon.com, Inc. [AMZN 96.48****]:

AMZN is planning to cut about 9k roles in the coming weeks, bringing the total number of announced job cuts to 27k. This latest round is significant, as it includes more profitable and faster-growing business segments, namely AWS and advertising. While the total number of announced layoffs represents only 1.8% of AMZN's workforce as of Q4 2022, we estimate that this figure comprises between 7% and 12% of the company's corporate staff (ex-warehouse and fulfillment jobs). We estimate over \$3.5 billion of total annual savings (roughly 10% of our current 2024 operating income estimate) from reductions in wages, bonuses, and stock-based compensation. While some may view these job cuts as a sign of a gloomier macro outlook, especially as it relates to cloud computing and digital advertising, we believe investors will appreciate AMZN's heightened focus on cost savings and FCF. Between the job cuts announced at META, MSFT, GOOGL, and AMZN, it is clear that efficiencies are the primary focus for Big Tech in 2023. / Arun Sundaram, CFA, CPA

February 22, 2023

03:01 PM ET... CFRA Maintains Buy Opinion on Shares of Amazon.com, Inc. [AMZN 95.48****]:

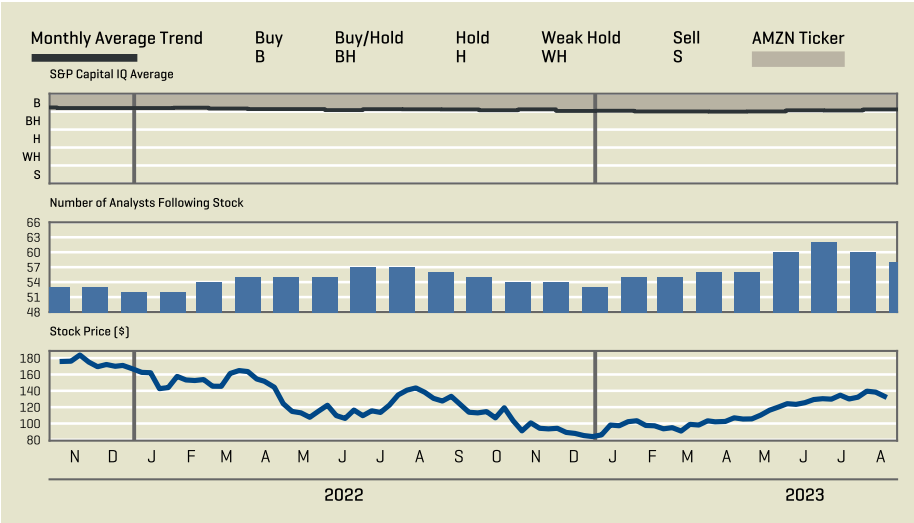
Today, Amazon announced it has closed its acquisition of One Medical, a differentiated primary care provider, for \$3.9 billion. This acquisition is Amazon's latest attempt to further penetrate and disrupt the broader U.S. healthcare sector, including purchasing PillPack in 2018 and launching Amazon Pharmacy in 2020, Amazon Clinic in 2022, and RxPass in January 2023. In our opinion, Amazon's foray into healthcare has so far yielded mixed results. Rather than fundamentally disrupting an industry, its offerings have thus far been more or less just another perk of a Prime membership. However, we realize Amazon is still in the early stages, noting it only takes one or two successful investments for Amazon to establish a new pillar to its business, as it did with Amazon Web Services (AWS) back in 2006. While Amazon's healthcare business may eventually be successful, the company is likely to face obstacles in the short term due to the highly regulated and complex nature of the industry. / Arun Sundaram, CFA, CPA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Amazon.com, Inc.

Analysts Recommendations

Wall Street Consensus Opinion



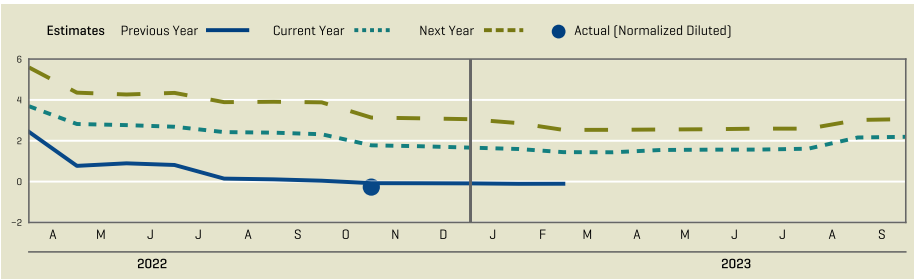
Buy

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that AMZN will earn USD 2.19. For fiscal year 2024, analysts estimate that AMZN's earnings per share will grow by 39.5% to USD 3.06.

	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	37	64	37	35
Buy/Hold	11	19	12	16
Hold	3	5	4	2
Weak hold	0	0	0	1
Sell	0	0	0	0
No Opinion	7	12	7	6
Total	58	100	60	60

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	3.06	4.54	2.03	40	42.27
2023	2.19	2.52	1.74	34	58.97
2024 vs. 2023	▲ 39%	▲ 80%	▲ 17%	▲ 18%	▼ -28%
Q3'24	0.76	0.95	0.64	9	169.12
Q3'23	0.58	0.71	0.44	27	223.73
Q3'24 vs. Q3'23	▲ 32%	▲ 33%	▲ 45%	▼ -67%	▼ -24%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Amazon.com, Inc.**Glossary****STARS**

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:**★★★★★ 5-STARS (Strong Buy):**

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Amazon.com, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	38.5%	36.8%	46.7%	39.8%
Hold	52.4%	48.0%	44.0%	49.8%
Sell	9.2%	15.3%	9.3%	10.4%
Total	100.0%	100.0%	100.0%	100.0%

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Amazon.com, Inc.

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